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To: Eligible Exporters, Project approved under Section 22(7) of the Value Added Tax Act or Registered person who made supplies of goods or services, more than fifty per centum (50%) of the total value supplies to any Strategic Development Project or Specified Project approved by the Minister

Risk Based Refund Scheme

1. Introduction

Following the repeal of the Simplified Value Added Tax (hereinafter referred to as the “SVAT”) Scheme, the Inland Revenue Department (hereinafter referred to as the “IRD”) shall implement a Risk-Based Refund Scheme (hereinafter referred to as the “RBRS”) for Value Added Tax refunds (hereinafter referred to as “VAT refunds”). This circular is issued to provide a brief overview of the RBRS and to outline important instructions for taxpayers regarding the processing and issuance of VAT refunds under the RBRS. Registered persons under the VAT Act are advised to carefully review the following guidelines to ensure compliance with the requirements of the scheme.

2. Risk Based Refund Scheme

The RBRS is designed to streamline VAT refund process by assessing refund claims based on the level of risk associated with any eligible exporter defined under section 83 of the VAT Act. Additionally, any project approved by the Commissioner General of Inland Revenue (hereinafter referred to as “CGIR”) under section 22(7) of the VAT Act or any registered person whose value of supplies of goods or services was more than fifty per centum of his total supplies for that taxable period who is supplying goods or services to any Strategic Development Project identified under subsection (4) of section 3 of the Strategic Development Project Act, No. 14 of 2008 or any specified project identified by the Minister under item (ii) of paragraph (f) of Part II of the First Schedule to this Act or item (xxi) of paragraph (b) of Part III of the First Schedule to this Act (hereinafter referred to as the “Eligible Projects”) shall be eligible to receive VAT refunds under the RBRS.

In terms of Section 22(5) (f) (d) (ii) of the VAT Act, the law provides expeditious processing of refunds not later than forty-five (45) days from the due date of VAT return submission or from the date of compliance with Notice 2 issued by the IRD, whichever falls later, for Eligible Exporters or Eligible Projects (hereinafter referred to as the “Eligible Person”) categorized as low-risk, medium-risk, or high-risk. According to the “RBRS”, refund claims are processed subject to the risk assessment based on predefined criteria to identify the likelihood of inaccuracy, non-compliance and overall behavior and reliability. In general, eligible persons classified as low-risk or medium-risk will be issued refunds without pre verification except the circumstances that officials think that pre verification is necessary, while eligible person classified as high-risk shall be subject to pre verification measures prior to the issuance of refunds.

As part of the RBRS, all approved refunds will be transferred directly to the Eligible Person’s designated bank account. Eligible Persons are therefore required to ensure that their bank account details registered with the tax authority are accurate and up to date. Any discrepancies in the bank information may result in delays or failure in processing the refund. It is the responsibility of the Eligible Persons to verify and update their banking information through the prescribed portal.

3. Process of the Risk Based Refund Scheme

i. Identifying Eligible Persons

a) Eligible Exporter

According to Section 83 of the VAT Act “eligible exporter” means, a registered person whose value of zero-rated supplies as defined under section 7 of this Act, during the preceding calendar year was greater than fifty percent of the total value of supplies made by that person during the same period.

b) Registered persons supplied to Eligible Projects – Registered person who made supplies of goods or services, more than fifty per centum (50%) of the total supplies to any Strategic Development Project or Special Project approved by the Minister

Any registered person whose value of supplies of goods or services was more than fifty per centum of his total supplies for that taxable period who is supplying goods or services to any Strategic Development Project identified under subsection (4) of section 3 of the Strategic Development Project Act, No. 14 of 2008 or any specified project identified by the Minister under item (ii) of paragraph (f) of Part II of the First Schedule to this Act or item (xxi) of paragraph (b) of Part III of the First Schedule to this Act shall be eligible for the refund under RBRS

Furthermore, any registered person whose value of supplies of goods or services to any Eligible Project, other than a project approved under Section 22(7) of the VAT Act, exceeds fifty percent of the total value of supplies made during a taxable period, shall

have their refund claims processed exclusively under the RBRS. All other refund claims shall be processed by the relevant units, namely the Large Taxpayers' Refund Unit, the Upper Corporate Taxpayers' Refund Unit, the Medium Corporate Taxpayers' Refund Unit, or the Non-resident Entities Unit, as applicable.

c) Eligible Project – Project approved under Section 22(7) of the VAT Act

Any registered person (the project approved by the CGIR) referred to in Subsection (7) of Section 22 of the VAT Act shall be eligible for the refund under the RBRS

ii. Developing Risk Criteria and Risk Rating Categorization

The risk criteria will be developed based on the following factors.

- a) Taxpayer's return and payment compliance history
- b) Audit history.
- c) Consistency and stable revenue history
- d) Refund history.
- e) Business reliability based on 3rd party data (eg. Custom, Central bank...).
- f) Length of stay in the business.
- g) Any other factors that CGIR thinks necessary.

This criteria will be used to identify the likelihood of accuracy, compliance, and to assess overall taxpayer behavior and reliability in order to categorize each Eligible Person's risk rating.

The eligible persons will be classified as low, medium, or high risk for the administration of the RBRS. Such risk ratings shall be effective from the taxable period commencing October 1, 2025, and remain valid until reviewed or revoked, with reviews conducted at six-month intervals or as deemed necessary.

On behalf of the CGIR, the CIR-RMU will identify Eligible Exporters for the RBRS based on the VAT return data of the calendar year 2024 for the initial eligibility period from October 1, 2025, to March 31, 2026. Thereafter, eligibility will be reviewed annually using VAT return data of the immediately preceding calendar year, effective from April 1 to March 31 of the following year, or until cancellation.

Furthermore, the CIR-RMU, on behalf of the CGIR, will identify Eligible Projects—excluding those approved under Section 22(7) of the VAT Act—for the purposes of the RBRS. This identification shall be based on records available with the IRD, including VAT return data. Eligibility for such projects shall be effective from the taxable period commencing October 1, 2025, or any subsequent taxable period in which the project is registered as a Strategic Development Project or a Special Project. This eligibility shall remain in effect until the project's expiry date or until cancellation, whichever occurs earlier.

Similarly, the CIR-RMU, acting on behalf of the CGIR will identify registered persons (projects) under the category of projects approved pursuant to Section 22(7) of the VAT Act for the purposes of the RBRS. This identification shall be based on records available with the IRD. Eligibility shall be effective from the taxable period beginning October 1, 2025, or any subsequent taxable period in which the project is registered under Section 22(7) of the VAT Act, continuing until the project's expiry date or until cancellation, whichever occurs earlier.

iv. Recommended Actions to Maintain or Achieve Low Taxpayer Risk Rating

To ensure that eligible persons remain in the low-risk category, or transition from medium/high risk to low risk, the following actions should be taken in line with the assessed risk factors:

a) Taxpayer's Return and Payment Compliance History

- File all tax returns accurately and on time.
- Ensure full and timely payment of all tax liabilities.
- Avoid late filings, underreporting, and non-compliance penalties.
- Respond promptly to any notices from the IRD.

b) Audit History

- Maintain accurate and complete records to withstand audits.
- Cooperate fully during audits and provide requested documentation.
- Avoid recurring audit adjustments by improving internal controls.
- Implement recommendations provided during past audits.

c) Consistency and Stability of Revenue History

- Ensure financial reporting reflects true and consistent revenue trends.
- Avoid large unexplained fluctuations in reported income.
- Use professional accounting services to maintain reliable records.

d) Refund History

- Only claim refunds when properly due and supported with documentation.
- Avoid excessive refund claims that could trigger suspicion.

e) Business Reliability Based on 3rd Party Data (e.g., Customs, Central Bank)

- Ensure consistency between tax returns and third-party data (e.g. import/export data, banking information).
- Comply with customs, financial, and regulatory reporting obligations.
- Resolve any discrepancies flagged by other government agencies.

f) Length of Time in Business

- For newer businesses: Establish a strong compliance track record early.
- For established businesses: Maintain consistent and transparent operations over time.
- Demonstrate long-term stability and business continuity.

v. Issuance of the Refund

- a) The IRD has established two units namely “Export Refund Processing Unit” for the issuance of refund and “Export Refund Verification Unit” for the pre-verification of refunds to ensure smooth functioning of the refund process under RBRS.
- b) Proper refund claims submitted by the eligible persons classified as low-risk or medium-risk shall be automatically assigned to the Export Refund Processing Unit for issuance of the refund, without being subjected to pre-verification.
- c) Refund claims submitted by the eligible persons classified as high-risk shall be automatically assigned to the Export Refund Verification Unit for pre-verification, which must be completed prior to the issuance of the refund by the Export Refund Processing Unit.
- d) A field visit shall be conducted by designated officials of the IRD, and the recommendation and approval of the relevant Senior Commissioner of the IRD shall be required.
- e) Refund process will be initiated based on the values declared in the VAT Return at the on-return processing stage.
- f) Every collectable taxes shall be paid or recovered from the VAT refund prior to the issuance of the refund.
- g) Where any material or significant risk-related information is received by the CGIR during the relevant refund period, and in the opinion of the CGIR such verification is necessary for the purpose of safeguarding government revenue, a refund claim may be subjected to verification procedures.
- h) The CGIR shall have the authority in the selection of refund claims for Post-Refund Audit to ensure the accuracy, validity, and integrity of such refund claims and to promote voluntary compliance and transparency in the administration of VAT.

vi. Responsibilities of the eligible persons

Eligible Persons are required to actively engage in and comply with the RBRS established by the IRD.

- a) The eligible persons shall promptly update and maintain the accurate profile information in Revenue Administration Management Information System (RAMIS) platform to ensure all records reflect current and correct data. It is advised to submit separate email address to easy issuance of refund.
- b) In addition to the contact details provided in the profile, mobile number and the email address of the person who is authorized for the VAT issues may be included in VAT tax type registration.
- c) The eligible persons shall update their bank account details in the RAMIS immediately if there is any change, to facilitate secure and timely refund disbursements.
- d) Every Eligible persons should submit the VAT returns in monthly basis along with all relevant VAT schedules through IRD e-Service portal on or before the last date of subsequent month as specified under section 21 of VAT Act.

e) Eligible persons must submit the required following schedules by either:

- entering the information directly using the schedule capture screen in the IRD e-service; or
- Uploading schedules as CSV files (Excel format) through IRD e-service

- **Schedule 01 - VAT Output tax.**

It should be included all the tax invoices issued to the registered persons and Government institutions and the aggregate value of inclusive invoices issued to the non- registered persons for the taxable period. It should not be included the invoices issued on deemed taxable supplies (Supplies made by Specified projects and Strategic Development Projects)

- **Schedule 02 – VAT Input tax on local purchases**

It Should be included all the valid tax invoices in relation to input tax claiming on local purchases for the taxable period subject to the provisions of subsection (6) of section 22 of the VAT Act. Therefore, the tax invoice which is expired twelve months period from the date of invoice to the end date of the taxable period that invoices should not be included as input tax credit. Furthermore, the VAT return in which the input tax on such local purchases is claimed must be submitted before expiry of aforementioned twelve months period from the date of invoice.

Example 01:

Date of Tax Invoice	The periods of the Input tax can be claimed as follows	
25/02/2025	For quarterly return filing	For monthly return filing
	From 2510 to 2540 (from 01/01/2025 to 31/12/2025)	From 2512 to 2611 (from 01/02/2025 to 31/01/2026)
	The VAT returns should be submitted at least before 24/02/2026	The returns for the periods from 2512 to 2543 should be submitted at least before 24/02/2026 The return for the period 2611 should be submitted on or before 28/02/2026

- **Schedule 03 – VAT Input tax on Imports**

It should be included all the valid Customs Declarations (CUSDEC) in relation to input tax claiming on the imports for the taxable period subject to the provisions of subsection (6) of section 22 of the VAT Act. Therefore, the CUSDEC which is expired twenty four months period from the date of importation to the end date of the taxable period that CUSDEC should not be included as input tax credit. Furthermore, the VAT return in which the input tax on such CUSDEC is claimed must be submitted before expiry of aforementioned twenty four months period from the date of importation.

It is advised to declare all the CUSDEC which is having deferred VAT in the same period that the CUSDEC is issued (Based on the date of importation) in order to easy issuance of Credit Voucher refund.

All CUSDEC records declared in VAT schedule 03 must be matched with the CUSDEC information provided by the Director General of Custom

Example 02:

Date of Importation of the CUSDEC	The periods of the Input tax can be claimed as follows	
25/02/2025	For quarterly return filing	For monthly return filing
	From 2510 to 2640 (from 01/01/2025 to 31/12/2026)	From 2512 to 2711 (from 01/02/2025 to 31/01/2027)
	The VAT returns should be submitted before 24/02/2027	The returns for the period from 2512 to 2643 should be submitted before 24/02/2027 For the returns for the period of 2711 should be submitted on or before 28/02/2027

- **Schedule 04 – VAT Credit notes and Debit notes**

Please note that all the credit notes and debit notes issued in relation to the supplies made by the registered person and credit note and debit note in relation to the purchases made by registered person should be included in the same period where the credit note or debit note issued, as well as the credit note or debit note issued within six month period from the date of respective tax invoice was issued.

- **Schedule 06 – Goods exports**

It should be included all the Customs Declarations in relation to Goods exported in the taxable period.

- **Schedule 07 – VAT Zero rated Supply of services**

It should be included all the invoices in relation to Zero rated supply of services relevant for the taxable period.

- f) All uploaded schedules must be verified using the official “Schedule Verification Tool” available in IRD web portal.
- g) The registered person shall provide all necessary documentation, information, access, and facilities required to enable the CGIR or authorized official to conduct both initial and periodic field visits.
- h) The registered person shall furnish all documentation requested by an official in Export Refund Verification Unit promptly and in full, to facilitate efficient and timely verification of refund claims. The registered person acknowledges that failure to provide the requisite information and documentation necessary for verification purposes may result in the outright rejection of the refund claim by the IRD.
- i) In the event of an eligible project operates multiple projects, such eligible project shall maintain distinct and separate records to clearly identify input tax credit attributable to each 22(7) approved project, Strategic Development Project or Specified project and shall furnish such information upon request by officials.
- j) For any Eligible Project registered as a Registered Identified Purchaser (RIP) prior to October 1, 2025 and make supplies to multiple projects, the SVAT number must be clearly indicated on the relevant tax invoice and the Schedules to enable identification of project-related expenses.
- k) Claiming an undue refund shall be treated as a punishable offence under VAT Act and result in penalties, including fines and potential prosecution.

4. Refund Rejection or Withheld

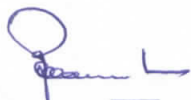
The CGIR, or any officer duly authorized by him for that purpose, may suspend or defer the processing of a refund claim in any of the following circumstances, until such time as the eligible person has complied with the requirements of the Act and discharged any outstanding liability.

- i. Where the eligible person fails to respond to a notice issued under the provisions of Section 21 of the VAT Act, for the purpose of obtaining full and complete information in respect of a refund, within the time period specified in such notice.

- ii. Where a notice is issued by an officer indicating that there is reasonable suspicion—supported by material facts or information available to the CGIR—that the refund claim contains false, exaggerated, misleading, or otherwise inaccurate particulars or representations.
- iii. Where the eligible person is in default of payment of any collectable tax, penalty, or interest lawfully due and payable under the provisions of any Act administered by the CGIR or any regulations made thereunder.

5. Reporting & Compliance Monitoring

The CGIR shall make necessary arrangements to monitor the process of RBRS to ensure timely and efficient processing of claims.



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